Chapter 4

Scott Ramsey

Low-Risk Futures Trader

I don't think I have ever been to a more unusual location for a hedge fund office—although the manager I had visited years ago located above a urology office in Brooklyn, New York, is probably a close second. To begin, Ramsey manages his fund from that hotbed of hedge fund activity—St. Croix, U.S. Virgin Islands. If I had been driven to Ramsey's office by a taxi, I would have sworn the driver had made a mistake or that I had incorrectly copied the address. But I had been picked up at my hotel by one of Ramsey's employees, so clearly I was in the right place. I stepped out of the car and gazed around the small shopping center. No building even remotely suggested the presence of office space. Ramsey's assistant led me into Gallows Bay Hardware and up the stairs. This was the location of Ramsey's trading firm, Denali Asset Management—an incongruous name for a firm located on a Caribbean island.

The location of his office is not the only unorthodox thing about Scott Ramsey. He dropped out of college with a near-perfect GPA and only nine credits short of a degree to pursue a career in futures trading. Although it is a decision that seems bafflingly irrational to me, give credit to Ramsey for knowing exactly what he wanted to do, and as he says, "It turned out okay."

Ramsey trades the highly liquid futures and foreign exchange (FX) markets. Although the majority of Commodity Trading Advisors (CTAs)[1] use a systematic approach, Ramsey is strictly a discretionary trader. He also differs from most CTAs by incorporating fundamentals into his decision-making process. Ramsey begins by establishing a broad fundamental macro view that determines his directional bias in each market. Once this bias is established, he will seek to go short the weakest market in a sector if he is